

Hon Hai Precision

Key Takeaways from the J.P. Morgan Asia Tech Tour

We hosted Hon Hai at our J.P. Morgan Asia Tech Tour. Key takeaways were:

- AI demand remains strong, with CSPs still the largest of the four AI customer types; penetration into neoclouds underway:** Management framed AI server demand as comprised of four customer types—AI developers, CSPs/neoclouds, government, and enterprise clients. Hon Hai's AI business is currently concentrated in CSPs, with the company expecting to penetrate neoclouds by end-2026. Government (sovereign AI) requires a longer runway, as governments want controllable datasets and local server capacity, while enterprise engagement is just starting; both remain early-stage but are expected to grow over time. Overall, Hon Hai expects neocloud GMs to be higher than CSPs and enterprise, given better bargaining power. In conversations with customers, management indicated that AI demand remains strong and that Hon Hai still needs to build more capacity in the next few years, implying continued elevated capex (after a 30% increase in 2026). Overall, we believe that AI servers will continue to be the main growth driver in the next few quarters, with Hon Hai's AI server revenue expected to grow 130%+ YoY/70%+ in 2026/27.
- ASIC to outgrow AI GPUs, on track to reach ~20% of AI server revenue by end-2026:** Management expects ASIC to outgrow GPU, with the AI revenue split between GPU and ASIC moving to approximately 80:20 by end-2026, from 90:10 at end of last year. Hon Hai also targets a minimum 40% ASIC market share long-term by leveraging its strong GPU rack assembly capability, high degree of automation (a compute tray that once took a few hours to assemble now takes only a few minutes at ~100% automation as per management), and design-for-manufacturing, as well as the rising market share in its largest ASIC customer (Google, in our view). Overall, we believe Hon Hai's key ASIC programs include Google CPU tray and rack assembly for TPU v8, as well as penetration into AWS Trainium 3 rack assembly, with incremental share gains in the TPU tray for TPU v8 projects expected by end-2026.
- Vera Rubin on track for mass production in 3Q26:** Management confirmed mass production of Vera Rubin from 3Q26, with no recent changes in schedule, and believes Hon Hai's share will move up to ~50% by end-2026. On overall AI rack shipments, management indicated that industry-wide rack-level AI server shipments could inch closer to recent market indications of 70-75k in 2026, implying potential upside to the 2026 AI rack shipment outlook, and expects sequential (QoQ) AI rack shipment growth throughout the year despite a product transition from Blackwell to Rubin in 4Q26. We also expect VR200 to enter mass production in late 3Q26 to 4Q26, with industry-wide shipments of up to 10K VR racks this year, and believe Hon Hai will benefit from the ramp of the Vera Rubin platform, given higher ASPs (VR200 rack ASPs ~2x vs. GB300) and share gains within NVIDIA (new customers such as Google and potentially SpaceX).
- CPO switches seeing higher-than-expected ASP uplift; CPO opportunity from ASIC another key to watch:** Management has indicated that CPO value

Overweight

2317.TW, 2317 TT

Price (19 Aug 26): NT\$245.00

Price Target (Jun-27): NT\$330.00

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is higher than its prior expectations, given a substantial ASP lift for the CPO switch product—likely in the range of \$100–150K per switch. Hon Hai also expects ~10K CPO switches this year, with volumes growing several-fold next year, highlighting its dominant market position. Management sees the CPO opportunity on the ASIC side as another key driver to watch. We expect networking and optical revenue to grow 440%/74% in 2027/28, at meaningfully higher margins than AI rack assembly (JPMe: 20%+ for CPO switches versus mid-single digits for NVL72).

- **Confident in OP growth, 3% OP margin target maintained, consignment mix to rise gradually:** Management reiterated its OPM target of ~3% and expects operating profit to keep growing, despite some GM dilution concerns. Hon Hai expects its consignment business model mix to rise gradually given stronger ASIC growth (most ASIC customers adopt the consignment model) and some GPU projects also adopting consignment model (we believe most NVL72 racks still use the buy-and-sell model), while HGX is moving to consignment. Given the still-higher share of the buy-and-sell model for GPU racks—which continues to rely on Hon Hai's balance sheet—management has indicated plans to fund working capital via loans and explicitly does not want to dilute equity. Hon Hai also highlighted vertical integration as a key advantage, with the ability to supply ~50% of components outside of GPU and memory, which should help support GM despite rising commodity prices. We believe vertical integration (liquid cooling, connectors, midplane PCBs, and L12 assembly) should cushion the GM dilution from rising commodity costs, and we expect Hon Hai's OPM to be maintained at 3.3–3.4% over the next few quarters.
- **Expect healthy smartphone revenue growth in 2026, with limited impact from memory supply and no delay to foldable iPhone:** Management expects Smart Consumer Electronics segment revenue to grow significantly (4-14% YoY) in 2026. While the revenue guidance already factors in the impact from memory supply, Hon Hai has not seen much impact from its Tier-1 customer (Apple, in our view), with pressure largely concentrated at the entry-level CE product range. Hon Hai does not see any delay in the foldable phone for its leading customer and has begun building stock for shipment in August. Hon Hai generally holds ~60% iPhone EMS market share, which could inflect higher during the ramp-up phase given its position as the primary NPI and production partner.
- **Stock view:** We remain OW on the stock, given ongoing strong AI server demand, with share gains in Vera Rubin racks (new customers such as Google and potentially SpaceX) and the Google TPU v8 project. Additional TAM should come from optical networking—an OPM-accretive opportunity where Hon Hai has gained strong initial market share.

Investment Thesis, Valuation and Risks

Hon Hai Precision (*Overweight; Price Target: NT\$330.00*)

Investment Thesis

We remain OW on Hon Hai, given strong growth in AI servers, margin improvements from business model shifts, and expanding TAM in optical networking. Looking into 2H26, we expect strong growth to continue for AI Servers, with GB300 strength in 3Q26 and early VR200 ramp in 4Q26, along with rising exposure to AI servers. We believe AI server growth is likely to remain quite strong into 2027, driven by share gains in NVDA Vera Rubin, new customers such as Google and potentially Space X. On margins, we expect Hon Hai to manage its margins by increasing the consignment business model ratio in AI servers to 20% by end 2026 (up from 10% in 1H26). In addition, vertical integration continues to proceed at a steady pace, which should cushion the GM dilution impact from rising commodity costs.

Valuation

Our Jun-27 PT of NT\$330 is based on ~14x 12m forward EPS. This multiple is higher than the five-year average multiple due to stronger AI exposure.

Risks to Rating and Price Target

Key downside risks include a less-than-expected share in AI servers in the Blackwell or Rubin generation and weaker-than-expected iPhone demand.

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Hon Hai Precision (2317.TW, 2317 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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